

BOOM DOCKS

THE KOMI REPUBLIC IS LEARNING HOW TO CASH IN ON ITS RICH NATURAL RESOURCES BY OFFERING MAJOR INCENTIVES TO BUSINESS



At first sight, with its sub-arctic temperatures and a snow-draped landscape for much of the year, Komi, one of Russia's 21 Republics, isn't very welcoming. A holiday in the starkly beautiful Ural mountain ranges that runs through the republic is probably more inviting, though the extreme cold is a dampener. But staying on to do business in this Republic for extended periods would be a true test of endurance. Its hostile environs was one of the reasons it was chosen for the infamous Soviet gulags or forced labour camps.

Yet as Russia booms, hordes of investors—both Russian and foreign—are descending on Komi's fast expanding capital Syktyvkar to cash in on the economic opportunities it is offering. Rich in oil and mineral resources, apart from forests, the Republic in the past five years is learning how to exploit them to its advantage. It even houses a natural resources museum to show visitors what it has to display. In Syktyvkar, spanking new buildings are coming up to house hotels and offices for the growing number of visiting businessmen.

Syktyvkar's airport, which is just five minutes away from the city centre, badly needs expansion. It is one of the mega-projects that the Komi Government wants private companies to build. Realising that its infrastructure is woefully inadequate to cash in on the boom, the Government is in a hurry to end the power shortages, set up a rail link with the northern port of Russia and build a modern road network. Anatoliy N. Chuytkin, the first deputy minister in the



SIGNS OF PROSPERITY: Syktyvkar reaps the benefits of an open economy

Ministry of Industry and Energy, asks in a puzzled voice: "The Chinese are here and so too are the Europeans, why aren't the Indians here?" He then wants to know whether Mithun Chakraborty still acts.

The poor Indian response to Komi's infrastructure opportunities is also a matter of concern to Pavel Orda, the Republic's young deputy governor. He points out that Komi

has speeded up clearances for projects and is offering the maximum tax concessions permitted to attract business. Orda, who grew up in a different province, was a successful businessman till he was persuaded to join the Republic's administration to be its trouble-shooter. He enjoys the task saying, "Earlier I thought democracy meant only freedom, now I know it means plenty of responsibility too."

Not far from the governor's office sits Marina Dmitriyevna Istikhovskaya, chairman, Komi's State Council, who grew up in Syktyvkar and has experienced the city's rapid change. She sees one of her main tasks as guiding the young to make use of the opportunities that are being thrown up.

Outside, a college student is humming a hit song of yesteryear that goes like this: "It's good to believe in the Soviet Union. It's good to be useful for your country, it's good to be loved by your country. And it's good to wear red." Red is no longer a word or colour that the people of Russia are ashamed to talk or sing about.

by Raj Chengappa



PAVEL A. ORDA

Deputy Governor, Republic of Komi

"Earlier I thought democracy meant only freedom. Now I know it means being responsible too."



MARINA D. ISTIKHOVSKAYA

Chairman, State Council, Republic of Komi

"There are plenty of opportunities and the young need to be guided on how to make use of them."